

CONFIDENTIAL LEGAL INSTRUMENT

MUTUAL NON-DISCLOSURE,
CONFIDENTIALITY AND
NON-CIRCUMVENTION AGREEMENT

Prepared for a medical device sales organisation specialising in surgical robotics, robotic-assisted instrumentation and engineering innovation

Disclosing / Receiving Party (Company)	[COMPANY LEGAL NAME, INC.]
Counterparty	[COUNTERPARTY LEGAL NAME]
Agreement Number	[_____]
Effective Date	[__ / __ / 20__]
Structure	Mutual (bilateral) — see Schedule A, Election 1
Confidentiality Term	5 years from disclosure; trade secrets, perpetual
Non-Circumvention Term	24 months from the later of the Effective Date or last Introduction
Governing Law	State of [Delaware], United States
Document Classification	Confidential — Restricted Distribution

IMPORTANT NOTICE — READ BEFORE EXECUTION

This instrument is a drafting template prepared as a business document. It is not legal advice and creates no attorney-client relationship. Confidentiality, restrictive-covenant and healthcare-compliance rules vary materially by jurisdiction and change over time. Before this Agreement is issued to any counterparty, licensed counsel in each jurisdiction where it will be used must review and adapt the bracketed elections, the restrictive covenants in Section 5, and the healthcare-compliance provisions in Sections 5.5 and 7.4. Bracketed text marks a decision the parties must make.

TABLE OF CONTENTS

How to use this document. Sections 1–7 are the operative Agreement — the only text that binds the Parties on execution. Schedules A and B and Exhibit 1 are completed at signature and incorporated by reference. The Explanatory Guide is internal commentary, not a term of the Agreement; detach it before issuing this document.

1. Introduction 3

1.1 Purpose and Commercial Context 3

1.2 Parties and Affiliates 3

1.3 Recitals 3

1.4 Structure and Order of Precedence 3

1.5 Interpretation 3

2. Definitions 3

2.1 Defined Terms 3

2.2 Categories of Confidential Information 4

2.3 Exclusions 4

3. Confidentiality 4

3.1 Undertaking and Standard of Care 4

3.2 Purpose Limitation 4

3.3 Marking and Unmarked Disclosures 4

3.4 Safeguards 4

3.5 Duration of Obligations 5

3.6 Compelled Disclosure 5

3.7 Return and Destruction 5

3.8 No Licence, No Warranty, No Obligation 5

3.9 Feedback 5

3.10 No Residual-Knowledge Rights 5

3.11 Regulated and Third-Party Data 5

4. Non-Disclosure 6

4.1 Prohibited Disclosures 6

4.2 No Reverse Engineering or Teardown 6

4.3 Permitted Disclosures to Representatives 6

4.4 Personnel Controls 6

4.5 Incident Notification 6

4.6 Verification 6

4.7 Protected Disclosures — Carve-Outs 6

5. Non-Circumvention 7

5.1 Purpose 7

5.2 Undertaking 7

5.3 Restricted Period 7

5.4 Carve-Outs 7

5.5 Healthcare Compliance Overlay 7

5.6 Reasonableness and Reformation 7

5.7 Jurisdictional Limits 7

5.8 Circumvention Fee 7

5.9 Worked Examples 8

6. Breach and Remedies 8

6.1 Irreparable Harm 8

6.2 Injunctive Relief and Specific Performance 8

6.3 Monetary Relief 8

6.4 Constructive Trust and Assignment 8

6.5 Indemnity and Costs 8

6.6 Cumulative Remedies; No Waiver; No Cap 8

6.7 Escalation 8

7. Governing Law 9

7.1 Governing Law 9

7.2 Jurisdiction, Venue and Jury Waiver 9

7.3 Optional Arbitration [Elect in Schedule A] 9

7.4 Compliance with Law 9

7.5 Severability, Amendment and Waiver 9

7.6 Assignment and Successors 9

7.7 Notices 9

7.8 Term, Termination and Survival 9

7.9 Entire Agreement and Counterparts 9

7.10 No Partnership or Exclusivity 9

Execution 10

Schedule A — Permitted Purpose and Elections 11

A.1 Permitted Purpose 11

A.2 Elections 11

A.3 Notices and Designated Contacts 11

Schedule B — Protected Relationships 12

B.1 Part 1 — Protected Relationships of Company 12

B.2 Part 2 — Restricted Recipients (§4.1(a)) 12

B.3 Part 3 — Pre-Existing Relationships (§5.4) 12

Exhibit 1 — Certificate of Return and Destruction 13

Explanatory Guide (Internal Commentary) 14

G.1 What each section does 14

G.2 Before this Agreement is used — counsel checklist 14

G.3 Operational practice for the deal team 14

1. INTRODUCTION

This Mutual Non-Disclosure, Confidentiality and Non-Circumvention Agreement (this "**Agreement**") is made as of the Effective Date stated on the signature page between [COMPANY LEGAL NAME, INC.], a [Delaware] corporation of [address] ("**Company**"), and the counterparty identified on the signature page ("**Counterparty**"). Each is a "**Party**"; together, the "**Parties**."

1.1 Purpose and Commercial Context

Company designs, integrates, markets and sells surgical robotic systems, robotic-assisted instrumentation, capital equipment, control and vision software, disposables and the engineering and field-service programmes supporting them. It competes on information that is not public: kinematic and control-loop design, haptic tuning, instrument articulation and sterile-barrier mechanisms, verification and validation evidence, regulatory strategy, manufacturing and supplier know-how, installed-base and procedure-volume data, and the commercial architecture — price books, discount matrices, group purchasing organisation ("GPO") and integrated delivery network ("IDN") terms — by which its products reach the operating room. Disclosure of that to a competitor, or use of Company introductions to reach Company customers, clinicians, distributors or suppliers directly, causes harm money cannot readily measure or repair.

The Parties wish to exchange such information solely to evaluate and, if they choose, pursue the transaction described in Schedule A (the "**Permitted Purpose**") — for example a distribution or sales-agency appointment, a supply or contract-manufacturing arrangement, a clinical evaluation, a co-development project, a financing, or a prospective employment or consulting engagement. This Agreement governs that exchange and nothing more.

1.2 Parties and Affiliates

This Agreement is mutual by default: each Party is Disclosing Party as to what it provides and Receiving Party as to what it receives. If Schedule A, Election 1 designates it as one-way, only Counterparty owes the Receiving Party obligations. Each Party contracts for itself and its Affiliates; an Affiliate that receives Confidential Information is bound as a Representative and the Party remains responsible for it.

1.3 Recitals

The Parties acknowledge that (a) Company has invested substantial time, capital and skill in its Confidential Information and takes reasonable measures to keep it secret; (b) that information derives independent economic value from not being generally known to, or readily ascertainable by proper means by, persons who could profit from its disclosure or use; (c) the restrictions here are no broader than needed to protect legitimate interests in trade secrets, customer and clinician relationships and goodwill; and (d) each Party has had the opportunity to take independent legal advice.

1.4 Structure and Order of Precedence

Sections 1 to 7 are the operative terms. Schedules A and B and Exhibit 1 are incorporated by reference and form part of this Agreement. On conflict, the operative terms prevail over the Schedules unless a Schedule expressly states that it amends a numbered Section. A later definitive agreement for the Covered Transaction prevails as to information exchanged after its effective date; this Agreement continues to govern everything disclosed before it.

1.5 Interpretation

"Including" and "such as" are illustrative and never limiting; the singular includes the plural; "writing" includes electronic records and email; "days" are calendar days unless stated as business days; headings do not affect meaning; and no rule construing ambiguity against the drafter applies, the Parties having negotiated at arm's length. A reference to a statute includes its regulations, as amended.

2. DEFINITIONS

2.1 Defined Terms

Term	Meaning
Affiliate	Any entity controlling, controlled by or under common control with a Party, where control means over 50% of voting interests or the power to direct management.
Confidential Information	All non-public information of any kind, in any medium, disclosed by or on behalf of the Disclosing Party, or observed, accessed or derived by the Receiving Party in connection with the Permitted Purpose, whether or not marked, plus all Derivative Materials. Section 2.2 lists the categories.
Covered Transaction	The transaction described as the Permitted Purpose in Schedule A, and any successor, substitute or materially similar transaction involving substantially the same subject matter or parties.
Derivative Materials	Notes, analyses, summaries, extracts, models, test results or benchmarks prepared by the Receiving Party that contain, reflect or are derived from Confidential Information.
Field	The design, development, manufacture, regulatory clearance, marketing, distribution, sale, installation, service or clinical support of robotic and robotic-assisted surgical systems and their instruments, accessories, disposables, software and related engineering services.
Introduction	Any act by which one Party puts the other in contact with, identifies to it, or facilitates its access to a Protected Relationship — by meeting, correspondence, site visit, congress, demonstration or referral.
Personal Data / PHI	Personal Data: information relating to an identified or identifiable natural person. PHI: protected health information as defined at 45 C.F.R. § 160.103. Both are Confidential Information of the highest sensitivity and are also governed by Section 3.11.
Protected Relationship	Each customer or prospective customer, IDN, GPO, hospital, ambulatory surgery centre, surgeon or other clinician, key opinion leader, distributor, sales agent, supplier, contract manufacturer, tooling or sterilisation vendor, clinical investigator or site, regulatory consultant, investor, lender, employee or contractor of the Disclosing Party that is named in Schedule B or becomes known to the Receiving Party through an Introduction or through Confidential Information.

Term	Meaning
Representatives	A Party's Affiliates and their directors, officers, employees, contractors, secondees, professional advisers, auditors and (where Section 4.3 permits) subcontractors — only those with a genuine need to know for the Permitted Purpose.
Trade Secret	Confidential Information qualifying as a trade secret under the Defend Trade Secrets Act of 2016, 18 U.S.C. § 1836 et seq., the Uniform Trade Secrets Act as enacted in the Governing State, or comparable law.

2.2 Categories of Confidential Information

Illustrative, not exhaustive — so that neither Party can later claim it did not understand what this Agreement protects.

Category	Representative examples in this business
Engineering and design	CAD models and assembly drawings; tolerance stacks; kinematic models; control-loop gains and haptic tuning; end-effector and articulation mechanisms; sterile barrier design; materials and coatings; design history files; FMEA and risk files; verification, EMC, biocompatibility and sterilisation data.
Software, data and security	Source code, firmware and build systems; instrument-tracking and computer-vision training data and model weights; calibration and registration routines; cybersecurity architecture, threat models, penetration-test findings and the software bill of materials.
Clinical and regulatory	510(k), De Novo and PMA strategy and submissions; FDA and notified body correspondence; EU MDR technical documentation; clinical protocols and unpublished study data; complaint, vigilance and adverse-event analyses; CAPA records; audit findings.
Manufacturing and supply chain	Supplier and contract-manufacturer identities and terms; tooling drawings; process parameters and yields; sterilisation and cleaning validations; bills of material and cost of goods; capacity, lead times and single-source dependencies.
Commercial and sales	Price books, floor pricing, discount and bundling matrices; GPO and IDN terms and rebate structures; tender and RFP responses; territory and quota plans; CRM pipeline and win/loss analyses; installed-base and procedure-volume data; surgeon and KOL lists; service and warranty economics.
Corporate and financial	Forecasts and models; unpublished financials; capitalisation and financing terms; board materials; partnership, licensing and acquisition pipelines; litigation strategy.
Third-party and regulated data	PHI and patient-identifiable data; Personal Data of clinicians and employees; information held under a duty of confidence owed to a third party; export-controlled technical data.

2.3 Exclusions

Confidential Information does not include information the Receiving Party can demonstrate:

- (a) was lawfully in its possession, free of any duty of confidence, before disclosure;
- (b) is or becomes public other than through an act or omission of the Receiving Party or its Representatives;
- (c) is lawfully received from a third party free to disclose it; or
- (d) was independently developed by personnel with no access to and no use of the Confidential Information.

The Receiving Party bears the burden of establishing an exclusion by contemporaneous written or electronic records, produced within thirty (30) days of written request. A combination of features or data points is not excluded merely because the individual elements are; the combination must itself satisfy an exclusion.

EXAMPLE — WHY THE COMBINATION RULE MATTERS

That a named IDN buys robotic systems is public. That it buys them at a stated capital price, with a stated per-procedure disposable commitment, on a contract expiring in a stated quarter, negotiated through a named GPO tier, is not — even though a determined researcher could learn each fact separately. The compiled commercial picture is the protected asset, and Section 2.3 preserves it.

3. CONFIDENTIALITY

3.1 Undertaking and Standard of Care

The Receiving Party shall hold all Confidential Information in strict confidence and protect it with at least the degree of care it applies to its own most sensitive information of like kind, and never less than reasonable care. It shall not disclose Confidential Information except as Section 4 permits, and shall not use it other than for the Permitted Purpose.

3.2 Purpose Limitation

The Receiving Party shall not use Confidential Information, directly or indirectly, to design, develop, price, market, sell, service or seek regulatory clearance for any product or service in the Field; to inform a competing bid, tender or GPO response; to establish a competing supply chain; to trade in securities; to train, fine-tune or evaluate any machine-learning model other than the Disclosing Party's; or to obtain any commercial advantage over the Disclosing Party.

3.3 Marking and Unmarked Disclosures

The Disclosing Party will use reasonable efforts to mark tangible materials. Failure to mark waives nothing: information disclosed orally, visually or by demonstration — a cleanroom tour, a cadaver-lab session, a sales training call, an engineering screen-share — is Confidential Information if a reasonable person in the Receiving Party's position would understand it to be confidential from its nature or the circumstances. Either Party may, but need not, confirm such a disclosure in writing within thirty (30) days.

3.4 Safeguards

The Receiving Party shall maintain administrative, technical and physical safeguards appropriate to the sensitivity of the information, including at a minimum:

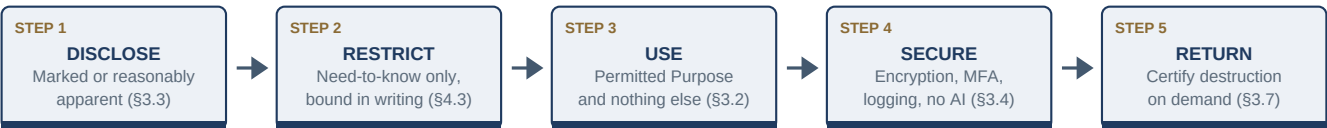
- encryption in transit and at rest on all devices and services, and multi-factor authentication on every account able to reach it;
- access limited to named Representatives on a documented need-to-know basis, logged, and revoked on role change or departure;
- storage only in systems the Receiving Party controls or has contracted for under written confidentiality terms — never personal accounts, unmanaged devices or consumer file-sharing;
- no entry of Confidential Information into any public or third-party generative artificial-intelligence service or model-training pipeline, unless the Disclosing Party consents in writing and the service contractually excludes the data from training and human review;
- segregation of source code, algorithms and design files in a controlled environment, clean-room separated from any competing development; and
- physical control of samples, loaned instruments, consoles and demo units, which remain the Disclosing Party’s property.

3.5 Duration of Obligations

Obligations run for the periods below, measured from each disclosure, and survive termination.

Class of information	Protection period	Rationale
General Confidential Information	Five (5) years from disclosure	Outlasts a product generation and a GPO cycle, yet stays a reasonable restraint.
Trade Secrets	While it remains a trade secret	A fixed expiry would extinguish trade-secret status by contract.
Source code, algorithms, control and imaging models	Ten (10) years, or while a Trade Secret, whichever is longer	Core platform assets persist across product generations.
Pricing architecture, GPO/IDN and tender terms	Five (5) years, and until the relevant contract expires	Pricing leakage is the most immediate competitive harm in device sales.
PHI, Personal Data, third-party confidential data	Perpetual, and as law requires	Duties under HIPAA, state privacy law and the GDPR do not lapse with a contract term.

Figure 1 — Lifecycle of Confidential Information under this Agreement



Each step is an independent obligation. A failure at any step is a breach, whether or not information ultimately reached a third party.

3.6 Compelled Disclosure

If required to disclose by subpoena, court or arbitral order, regulatory demand or law, the Receiving Party shall, so far as legally permitted, give prompt written notice before disclosing so the Disclosing Party may seek a protective order; cooperate at the Disclosing Party’s expense; disclose only the portion legally compelled, on advice of counsel; and seek confidential treatment. Such a disclosure is not a breach and the information remains Confidential Information for all other purposes.

3.7 Return and Destruction

On written request, or promptly on expiry, termination or abandonment of the Covered Transaction, the Receiving Party shall return or irretrievably destroy all Confidential Information and Derivative Materials held by it or its Representatives and deliver the certificate at Exhibit 1, signed by an authorised officer, within thirty (30) days. It may retain (a) one archival copy held by its legal function to evidence its obligations, (b) copies in routine backup systems that cannot reasonably be purged selectively, and (c) copies required by law, regulation, professional standard or litigation hold. Retained copies may not be accessed for any operational purpose and remain subject to this Agreement while retained, notwithstanding Section 3.5.

3.8 No Licence, No Warranty, No Obligation

All Confidential Information and the intellectual property rights in it remain the Disclosing Party’s exclusive property. Nothing here grants, by implication, estoppel or otherwise, any licence under any patent, copyright, trade secret, trademark, design right or other intellectual property. Confidential Information is provided "AS IS"; the Disclosing Party makes no representation as to its accuracy and, absent fraud, has no liability for the Receiving Party’s reliance on it. Neither Party must disclose anything, continue discussions, or enter into any definitive agreement.

3.9 Feedback

The Disclosing Party may use without restriction, attribution or compensation any suggestions, corrections or usability observations the Receiving Party gives on its products, prototypes or documentation. This transfers no pre-existing intellectual property of the Receiving Party and does not enlarge its right to use Confidential Information.

3.10 No Residual-Knowledge Rights

This Agreement contains no residual-knowledge licence. Unaided memory is not a permission to use, disclose or reproduce Confidential Information, and reliance on memory is not a defence to a claim under this Agreement.

3.11 Regulated and Third-Party Data

Neither Party will disclose PHI or Personal Data to the other unless lawful and necessary for the Permitted Purpose and the Parties have first executed any required HIPAA business associate agreement or data processing agreement, which controls over this Agreement to the extent of any conflict. Data will be de-identified or limited to the minimum necessary wherever the Permitted Purpose allows. Neither Party will export or transfer export-controlled technical data in violation of the Export Administration Regulations, ITAR or applicable sanctions, or disclose information held subject to a third party’s confidentiality rights without consent.

4. NON-DISCLOSURE

Section 3 governs how Confidential Information is handled. This Section governs to whom it may be given, and what the Receiving Party may not do with it.

4.1 Prohibited Disclosures

Except as Sections 4.3 and 4.7 permit, the Receiving Party shall not disclose, publish or make available any Confidential Information to any person, and specifically shall not:

- (a) disclose it to any competitor of the Disclosing Party in the Field, including any Restricted Recipient listed in Schedule B and its Affiliates, agents and advisers;
- (b) present, publish or discuss it in any abstract, poster, journal article, congress presentation, podcast, webinar, investor deck, analyst call, press release, social-media post or marketing material;
- (c) include it in, or use it to support, any patent, design, utility model or trademark application, or any regulatory submission of the Receiving Party;
- (d) disclose it to any prospective investor, lender, acquirer or placement agent, or place it in any data room, without prior written consent; or
- (e) use the Disclosing Party's name, marks or product images, or the existence, status or terms of the discussions, in any public or promotional statement, except as Section 7.4 requires by law.

4.2 No Reverse Engineering or Teardown

The Receiving Party shall not, and shall not permit any person to, reverse engineer, decompile, disassemble, tear down, x-ray, CT-scan, section, or chemically or metallurgically analyse any system, instrument, disposable, prototype, sample or software of the Disclosing Party — whether obtained under this Agreement or otherwise — or otherwise attempt to derive its composition, source code, algorithms, architecture, tolerances or manufacturing methods, except to the narrow extent such an act cannot lawfully be prohibited and then only on written notice. Competitive benchmarking against the Receiving Party's own products is prohibited for the term of this Agreement.

4.3 Permitted Disclosures to Representatives

The Receiving Party may disclose Confidential Information only to Representatives with a genuine need to know it for the Permitted Purpose who are bound by written confidentiality and non-use obligations at least as protective as this Agreement or, for professional advisers, by equivalent professional duties. Disclosure to a subcontractor requires prior written consent. The Receiving Party shall keep a current list of Representatives given access, produce it on request, and is fully responsible for any act or omission of a Representative that would breach this Agreement if done by the Receiving Party.

4.4 Personnel Controls

The Receiving Party shall instruct each Representative before granting access; revoke access promptly on role change or departure; recover or confirm destruction of Confidential Information held by a departing Representative; and notify the Disclosing Party if a Representative with material access moves to a competitor in the Field within twelve (12) months of last access.

4.5 Incident Notification

The Receiving Party shall notify the Disclosing Party in writing within forty-eight (48) hours of becoming aware of any actual or reasonably suspected loss, theft or unauthorised access, use or disclosure, describing the information affected, the circumstances, the persons involved and the containment steps taken. It shall investigate, cooperate with the Disclosing Party's investigation, take all steps reasonably requested to retrieve the information and mitigate harm, and preserve evidence. Where PHI or Personal Data is involved the Parties shall coordinate on statutory breach notification, and neither shall name the other without prior consultation unless law requires it.

4.6 Verification

Once in any twelve (12) month period, on ten (10) business days' notice, the Disclosing Party may require written certification of compliance with Sections 3 and 4 and a description of the safeguards in place. On a reasonable, documented suspicion of breach it may also require an audit of the relevant systems by an independent auditor bound to confidentiality, during business hours and with minimal disruption. The Disclosing Party bears the cost unless a material breach is found.

4.7 Protected Disclosures — Carve-Outs

Nothing in this Agreement limits, and no provision may be construed to limit, any of the following:

- (a) **Defend Trade Secrets Act immunity notice (18 U.S.C. § 1833(b)).** An individual shall not be held criminally or civilly liable under any federal or state trade secret law for the disclosure of a trade secret that (i) is made in confidence to a federal, state or local government official, directly or indirectly, or to an attorney, solely for the purpose of reporting or investigating a suspected violation of law, or (ii) is made in a complaint or other document filed under seal in a lawsuit or other proceeding. An individual suing an employer for retaliation for reporting a suspected violation of law may disclose the trade secret to that individual's attorney and use it in the court proceeding, if the individual files any document containing the trade secret under seal and does not disclose it except pursuant to court order;
- (b) communicating with, filing a charge with, providing information to, or participating in an investigation by the FDA, EEOC, NLRB, SEC, Department of Justice, a state attorney general, a notified body or any other regulator — including reporting a suspected device-safety issue or violation of law — without notice to or approval from the other Party, and including receiving any whistleblower award;
- (c) the exercise of rights under Section 7 of the National Labor Relations Act or comparable law, including discussing wages, hours and working conditions; or
- (d) disclosure required by a court, arbitrator or law, subject to the notice procedure in Section 3.6.

WHY THE § 1833(B) NOTICE IS HERE

Under 18 U.S.C. § 1833(b)(3), an employer that omits this immunity notice from a contract governing the use of trade secrets with an employee — a term that reaches contractors and consultants — cannot recover exemplary damages or attorney fees under the DTSA against that individual. Deleting subsection (a) therefore forfeits two of the strongest federal remedies in Section 6.

5. NON-CIRCUMVENTION**5.1 Purpose**

In medical device sales the relationship is often worth more than the document. Access to a hospital value-analysis committee, a GPO contracting officer, a high-volume robotic surgeon or a validated contract manufacturer is an asset built over years. This Section stops a Party using the access it gains here to go around the other Party rather than through it.

5.2 Undertaking

During the Restricted Period neither Party shall, directly or indirectly, alone or through any Affiliate, Representative or other person:

- (a) contact, solicit, negotiate or transact with, or accept business from, any Protected Relationship of the other Party, in the Field, for the Covered Transaction or any substantially similar opportunity, otherwise than through the other Party;
- (b) induce or attempt to induce any Protected Relationship to terminate, reduce, decline to renew or alter to the other Party's detriment its relationship with the other Party;
- (c) use Confidential Information or any Introduction to identify, qualify, price, target or approach any Protected Relationship, including by sourcing from the other Party's suppliers or contract manufacturers on the basis of that Party's specifications, tooling, qualifications or negotiated terms;
- (d) circumvent the other Party's role in the Covered Transaction, including by restructuring, renaming or re-routing the opportunity through an Affiliate, nominee, consortium, distributor or newly formed entity; or
- (e) solicit for employment or engagement, or hire or engage, any employee or contractor of the other Party with whom it had material contact in connection with the Permitted Purpose.

5.3 Restricted Period

The "**Restricted Period**" is twenty-four (24) months from the later of the Effective Date and the last Introduction or last disclosure of Confidential Information, unless Schedule A, Election 4 states otherwise. It is tolled and extended day for day for any period during which a Party is in breach of this Section, to the extent the Governing State permits tolling.

5.4 Carve-Outs

This Section does not restrict, and no breach arises from:

- a relationship documented before the Effective Date at Schedule B, Part 3, or otherwise proved by contemporaneous records to predate the Introduction;
- a contact developed wholly independently of any Introduction and without use of Confidential Information, evidenced by contemporaneous records;
- a response to a genuinely public tender, RFP or GPO solicitation open to all qualified bidders that the restricted Party did not procure, prompt or influence;
- general advertising, job postings and untargeted agency searches, and the hiring of a person who responds to them or who was terminated by the other Party; or
- the ordinary continuation of a commercial relationship wholly outside the Field.

5.5 Healthcare Compliance Overlay

This Section restrains the Parties only. Nothing in it requires, permits or rewards any referral, purchase, order or recommendation of an item or service reimbursable by a federal or state healthcare programme; restrains the independent clinical judgement of any physician; or interferes with patient access to care or an institution's choice of technology. No payment under this Agreement is intended as an inducement within the federal Anti-Kickback Statute, 42 U.S.C. § 1320a-7b(b), or the Physician Self-Referral Law, 42 U.S.C. § 1395nn, and the Parties shall comply with those laws, with applicable transparency-reporting obligations, and with the Foreign Corrupt Practices Act and UK Bribery Act. Any application of this Section that would conflict with those laws is void, and the remainder stands.

5.6 Reasonableness and Reformation

Each Party acknowledges these restraints are reasonable in scope, geography and duration, are necessary to protect legitimate interests in trade secrets, customer and clinician goodwill and specialised training, and will not prevent it from earning a livelihood. If a court or arbitrator finds any restraint overbroad, the Parties request that it be reformed and enforced to the maximum extent permitted rather than struck out; where reformation is not permitted, the restraint is severed and the remainder stands.

5.7 Jurisdictional Limits

The employee non-solicitation and hiring restraint in Section 5.2(e) does not apply, and is unenforceable, to the extent the law governing an individual's engagement prohibits or limits it — including California Business and Professions Code § 16600 et seq. and comparable statutes elsewhere. Restrictive-covenant law in this area is unsettled and moves quickly at both federal and state level; counsel must confirm the current position for each jurisdiction before this Agreement is used there. The remaining subsections of Section 5.2, which protect trade secrets and transaction-specific confidentiality rather than restraining employment, are intended to be enforceable independently of Section 5.2(e).

5.8 Circumvention Fee

If a Party circumvents the other in breach of this Section and derives revenue from a Protected Relationship as a result, the injured Party may elect, in place of proving actual damages and without limiting Section 6, to recover a fee equal to [_____] per cent ([_____]%) of gross revenue derived from that

relationship during the Restricted Period and the [twelve (12)] months following — a reasonable approximation of the value of a diverted opportunity, which is difficult to quantify precisely.

5.9 Worked Examples

Interpretive aids agreed by the Parties. Not exhaustive; they do not narrow Section 5.2.

Scenario	Treatment	Reason
Company introduces Counterparty, a distributor, to a regional IDN's value-analysis committee. Two months later Counterparty quotes that IDN directly for a competing platform.	Prohibited	Opportunity reached through an Introduction, in the Field. §5.2(a), (c).
Counterparty learns from Company's bill of materials which contract manufacturer builds Company's articulating wrist, and approaches it to build a similar one.	Prohibited	Supplier identified through Confidential Information. §5.2(c).
Counterparty forms a new entity, assigns the opportunity to it, and that entity contracts with the introduced GPO.	Prohibited	"Directly or indirectly" reaches nominees and new entities. §5.2(d).
Counterparty had a signed distribution agreement with the same IDN for orthopaedic implants two years before the Effective Date, listed at Schedule B, Part 3, and continues it.	Permitted	Documented pre-existing relationship, and outside the Field. §5.4.
A hospital system publishes an open RFP for robotic systems on its portal; Counterparty, previously introduced to that system, bids on its own account.	Permitted	Genuinely public solicitation, not procured or prompted. §5.4.

6. BREACH AND REMEDIES

6.1 Irreparable Harm

Each Party acknowledges that Confidential Information and Protected Relationships are unique and that a breach or threatened breach of Sections 3, 4 or 5 causes immediate and irreparable harm for which damages are an inadequate remedy: once a control algorithm, a price book or a GPO term is known to a competitor it cannot be made unknown, and the loss of a clinician or IDN relationship compounds over years of procedure volume that cannot be reconstructed.

6.2 Injunctive Relief and Specific Performance

The injured Party may seek temporary, preliminary and permanent injunctive relief and specific performance in any court of competent jurisdiction, without proving actual damages and, to the fullest extent permitted by law, without posting a bond. Each Party waives any defence that an adequate remedy at law exists. This right is immediate and is not subject to the escalation procedure in Section 6.7 or to any agreement to arbitrate.

6.3 Monetary Relief

The injured Party may also recover, as applicable and without double recovery for the same loss:

- actual damages, including lost profits and the cost of investigation, containment, remediation, notification and customer retention;
- the breaching Party's unjust enrichment, including revenue diverted from a Protected Relationship;
- in the alternative, a reasonable royalty for unauthorised use of a Trade Secret;
- the circumvention fee under Section 5.8, at the injured Party's election in place of proving actual damages for that breach;
- exemplary damages of up to twice the award, and reasonable attorney fees, for wilful and malicious misappropriation under 18 U.S.C. § 1836(b)(3), subject to the notice at Section 4.7(a); and
- seizure and other relief under applicable trade-secret, computer-fraud and unfair-competition law.

6.4 Constructive Trust and Assignment

Any intellectual property, application, registration or improvement conceived or reduced to practice using Confidential Information in breach of this Agreement is held in constructive trust for the Disclosing Party, and the breaching Party shall assign it and execute all documents needed to perfect that assignment, at its own cost.

6.5 Indemnity and Costs

The breaching Party shall indemnify, defend and hold harmless the injured Party, its Affiliates and their personnel against all third-party claims, regulatory penalties, fines and losses, and all reasonable legal and expert costs arising out of the breach — including statutory privacy or security-incident liability from unauthorised disclosure of PHI or Personal Data. The prevailing Party in any enforcement action may recover its reasonable attorney fees and costs, including on appeal.

6.6 Cumulative Remedies; No Waiver; No Cap

All rights and remedies are cumulative and additional to every other remedy at law or in equity. No failure or delay in exercising a right waives it, and no partial exercise precludes further exercise. Any limitation of liability or exclusion of consequential damages in any other agreement between the Parties does not apply to a breach of Sections 3, 4 or 5 unless that agreement expressly says so by reference to this Section.

6.7 Escalation

For a curable, non-disclosure-related breach — a lapse in safeguards, a missing Representative undertaking, a late certificate — the injured Party shall give written notice and the breaching Party has ten (10) business days to cure; failing cure, the Parties' executives shall confer within a further fifteen (15) days. This is a precondition to a damages claim for such a breach only. No notice or waiting period applies to actual or threatened unauthorised disclosure, misappropriation of a Trade Secret, breach of Section 5, or any application under Section 6.2.

Figure 2 — Escalation of remedies

1. NOTICE AND CURE

Curable safeguard or administrative lapse — 10 business days to cure (§6.7). Not available for disclosure or circumvention.

2. EXECUTIVE ESCALATION

Named executives confer within 15 days; disclosures and the Covered Transaction suspended pending resolution.

3. EMERGENCY INJUNCTIVE RELIEF

TRO, preliminary injunction and specific performance — immediate, no notice, no bond, no arbitration (§6.2).

4. FULL MONETARY AND STATUTORY RELIEF

Actual loss, unjust enrichment, reasonable royalty, circumvention fee, DTSA exemplary damages and fees (§§5.8, 6.3, 6.5).

The ladder is not sequential for serious breaches: disclosure to a competitor or circumvention of a Protected Relationship starts at level 3.

7. GOVERNING LAW

7.1 Governing Law

This Agreement and all claims arising out of or relating to it or to the Confidential Information, whether in contract, tort, statute or otherwise, are governed by the laws of the State of [Delaware] (the "**Governing State**"), without regard to conflict-of-laws rules. The UN Convention on Contracts for the International Sale of Goods does not apply. Where a mandatory law of another jurisdiction applies to a Party's personnel or to Personal Data, that law prevails to the extent of the conflict and only to that extent.

7.2 Jurisdiction, Venue and Jury Waiver

The Parties submit to the exclusive jurisdiction of the courts in [New Castle County, Delaware] and waive any objection to venue or claim of forum non conveniens, except that either Party may seek injunctive relief under Section 6.2 in any court with jurisdiction over the other Party or its assets. **To the fullest extent permitted by law, each Party knowingly and voluntarily waives any right to trial by jury in any proceeding arising out of this Agreement.** [Pre-dispute jury waivers are unenforceable in some states, including California — confirm before relying on this.]

7.3 Optional Arbitration [Elect in Schedule A]

If Schedule A, Election 5 selects arbitration, any dispute not resolved under Section 6.7 shall be finally resolved by binding arbitration administered by [the American Arbitration Association under its Commercial Arbitration Rules] before [one] arbitrator [experienced in medical device disputes], seated in [Wilmington, Delaware], in English. The arbitration, the record and the award are confidential; judgment may be entered in any court of competent jurisdiction. Nothing here prevents either Party from seeking injunctive relief from a court under Section 6.2, and doing so does not waive the agreement to arbitrate.

7.4 Compliance with Law

Each Party shall comply with all laws applicable to its performance, including the Anti-Kickback Statute and Physician Self-Referral Law, transparency-reporting requirements, the Food, Drug, and Cosmetic Act and FDA regulations, EU Regulation 2017/745 (MDR) where applicable, HIPAA and applicable privacy law, the Foreign Corrupt Practices Act and UK Bribery Act, and export-control and sanctions law. A Party may disclose the existence of this Agreement where securities law requires, on such notice as is practicable.

7.5 Severability, Amendment and Waiver

Any provision held invalid or unenforceable shall be reformed to the minimum extent needed to make it enforceable and, failing that, severed, with the remainder continuing in full force. No amendment or waiver is effective unless in writing signed by an authorised representative of each Party.

7.6 Assignment and Successors

Neither Party may assign this Agreement or delegate its obligations without the other's prior written consent, except to a successor to all or substantially all of its business or assets in the Field that assumes this Agreement in writing — and consent may be withheld where the assignee is a competitor. Any purported assignment is otherwise void. Affiliates are intended third-party beneficiaries of Sections 3 to 6; there are no others.

7.7 Notices

Notices must be in writing and delivered to the addresses in Schedule A by personal delivery, nationally recognised courier or email with confirmation of receipt to the designated legal contact, and are effective on delivery or the next business day if delivered outside business hours. Notice of a breach or security incident must also be copied to the recipient's legal contact.

7.8 Term, Termination and Survival

This Agreement begins on the Effective Date and continues for [two (2)] years unless terminated earlier by either Party on thirty (30) days' written notice. Termination ends only the obligation to make further disclosures: Sections 2 to 7 and every obligation as to Confidential Information already disclosed survive for the periods in Section 3.5, and the Restricted Period in Section 5.3 runs regardless of termination.

7.9 Entire Agreement and Counterparts

This Agreement with its Schedules and Exhibit is the entire agreement on its subject matter and supersedes all prior understandings, oral or written. Each Party confirms it has not relied on any statement outside it, save that nothing excludes liability for fraud. It may be executed in counterparts and signed electronically; electronic signatures have the same effect as manuscript signatures under the E-SIGN Act and UETA as enacted in the Governing State.

7.10 No Partnership or Exclusivity

Nothing here creates a partnership, joint venture, agency, franchise, distributorship or employment relationship, grants authority to bind the other Party, or obliges either Party to deal exclusively with the other, to proceed with the Covered Transaction, or to refrain from any independent

opportunity that uses no Confidential Information and does not breach Section 5.

EXECUTION

IN WITNESS WHEREOF, the Parties have executed this Agreement by their duly authorised representatives as of the Effective Date. Each signatory represents that it is authorised to bind the Party for which it signs, and each Party confirms that it has read Sections 1 to 7 and the completed Schedules in full.

COMPANY

[COMPANY LEGAL NAME, INC.]

By: _____
Name: _____
Title: _____
Date: _____
Notices: _____

COUNTERPARTY

[COUNTERPARTY LEGAL NAME]

By: _____
Name: _____
Title: _____
Date: _____
Notices: _____

Attachments completed at execution

Both Parties confirm the status of each attachment below. An attachment marked "not completed" is not thereby waived — the operative Section continues to apply on its own terms, and the Party relying on a carve-out bears the evidential burden set out there.

Attachment	Governs	Status at signing
Schedule A.1 — Permitted Purpose	Scope of every permitted use (§3.2)	☐ completed ☐ not completed
Schedule A.2 — Elections	Term, Restricted Period, forum, fee (§§3.5, 5.3, 5.8, 7.1)	☐ completed ☐ defaults apply
Schedule A.3 — Notices and contacts	Valid service of notice and incident reporting (§§4.5, 7.7)	☐ completed ☐ not completed
Schedule B.1/B.2 — Protected Relationships and Restricted Recipients	Named scope of §§4.1(a) and 5.2	☐ attached ☐ none named
Schedule B.3 — Pre-existing relationships	Carve-out from non-circumvention (§5.4)	☐ attached ☐ none claimed
Exhibit 1 — Certificate of Return and Destruction	Delivered on request or at close-out (§3.7)	☐ not due at signing
HIPAA business associate agreement / data processing agreement	Required before any PHI or Personal Data moves (§3.11)	☐ executed ☐ not applicable

Executed original retained by: _____	Counterpart copies distributed to: _____	Date filed: _____
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SCHEDULE A — PERMITTED PURPOSE AND ELECTIONS

Complete every field before execution. An election left blank takes the default shown in the operative Sections.

A.1 Permitted Purpose

Describe the specific transaction or relationship being evaluated (for example: "evaluation of Counterparty as an authorised distributor of Company's robotic surgical platform in [territory]"):

A.2 Elections

#	Election	Selection
1	Structure of the Agreement	☐ Mutual (default) ☐ One-way — Counterparty is Receiving Party only
2	General confidentiality term (§3.5)	☐ 5 years (default) ☐ ____ years
3	Trade-secret protection (§3.5)	☐ Indefinite while a trade secret (default — do not vary without counsel)
4	Restricted Period (§5.3)	☐ 24 months (default) ☐ 12 months ☐ ____ months
5	Dispute resolution (§§7.2, 7.3)	☐ Courts of the Governing State (default) ☐ Binding arbitration under §7.3
6	Governing State (§7.1)	State of _____
7	Circumvention fee percentage (§5.8)	_____ %
8	Term of the Agreement (§7.8)	_____ years from the Effective Date

A.3 Notices and Designated Contacts

	Company	Counterparty
Legal notices to	_____	_____
Address	_____	_____
Email	_____	_____
Security-incident contact (§4.5)	_____	_____
Authorised Representatives with access (§4.3) — attach list	☐ attached	☐ attached

SCHEDULE B — PROTECTED RELATIONSHIPS

This Schedule identifies relationships by name. It is illustrative of, and does not limit, the definition of "Protected Relationship" in Section 2.1, which also reaches relationships learned through an Introduction or through Confidential Information.

B.1 Part 1 — Protected Relationships of Company

Category	Named party	Introduced on	Notes
IDN / hospital / ASC			
GPO			
Surgeon / KOL / clinical site			
Distributor / sales agent			
Supplier / contract manufacturer			
Investor / lender			

B.2 Part 2 — Restricted Recipients (§4.1(a))

Confidential Information may not be disclosed to the following entities or their Affiliates, agents or advisers under any circumstances:

1. _____

2. _____

3. _____

4. _____

B.3 Part 3 — Pre-Existing Relationships (§5.4)

Relationships each Party had established before the Effective Date and which are therefore carved out of Section 5.2. A relationship not listed here must be proved by contemporaneous records.

Party claiming	Counterpart named	Relationship since	Evidence held
☐ Company ☐ Counterparty			
☐ Company ☐ Counterparty			
☐ Company ☐ Counterparty			

EXHIBIT 1 — CERTIFICATE OF RETURN AND DESTRUCTION

To be signed by an authorised officer and delivered within thirty (30) days of a request under Section 3.7.

The undersigned, on behalf of _____ (the "Receiving Party"), certifies with respect to the Mutual Non-Disclosure, Confidentiality and Non-Circumvention Agreement dated _____ (Agreement No. _____) that:

- (a) all Confidential Information and Derivative Materials in tangible form have been returned to the Disclosing Party or destroyed beyond recovery;
- (b) all electronic copies have been permanently deleted from all systems, devices, cloud services, collaboration tools and personal repositories under the Receiving Party's or its Representatives' control, and no copy has been entered into any model-training or generative artificial-intelligence service;
- (c) all Representatives who received Confidential Information have been instructed accordingly and have confirmed compliance;
- (d) all loaned equipment, instruments, samples and demonstration units have been returned in the condition received, ordinary wear excepted; and
- (e) the only retained copies are those permitted by Section 3.7, described below, which remain subject to the Agreement:

Description of retained copies, the system holding them and the reason for retention:

CERTIFYING OFFICER

By: _____
Name: _____
Title: _____
Date: _____
Notices: _____

COUNTERSIGNED (if required)

By: _____
Name: _____
Title: _____
Date: _____
Notices: _____

EXPLANATORY GUIDE (INTERNAL COMMENTARY)

STATUS OF THIS GUIDE

This guide explains the drafting choices in the Agreement so that commercial, engineering and sales teams can apply it consistently. It is internal commentary, not a term of the Agreement, and it is not legal advice. Remove it before issuing the Agreement to a counterparty.

G.1 What each section does

Section	What it does	Why it is drafted this way
1 Introduction	Identifies the Parties, states the Permitted Purpose and records the recitals.	The recitals in §1.3 are evidence. Courts assessing a restrictive covenant look for a stated legitimate interest and an acknowledgement that reasonable secrecy measures exist; §1.3 supplies both on the face of the document.
2 Definitions	Fixes the vocabulary, lists the categories of protected information and states the four standard exclusions.	The category table in §2.2 is deliberately specific to robotics and device sales: generic NDAs fail when a recipient argues it did not understand that a discount matrix or a supplier identity was covered. The combination rule in §2.3 protects compiled commercial data whose individual elements are public.
3 Confidentiality	Sets the standard of care, purpose limitation, safeguards, protection periods and the return-and-destroy process.	The tiered periods in §3.5 avoid the common error of putting a fixed expiry on trade secrets, which can extinguish their status. The AI restriction in §3.4 closes a route by which specifications now routinely leak.
4 Non-Disclosure	Controls who may receive the information and bans reverse engineering, IP filings and publication.	A confidentiality clause without §4.3 is unenforceable in practice: flow-down obligations to Representatives make the recipient answerable for its own staff and advisers. §4.7 preserves statutory rights a contract cannot waive, and the DTSA notice preserves exemplary damages and fee recovery.
5 Non-Circumvention	Stops a Party using access gained under the Agreement to reach the other Party's customers, clinicians, distributors or suppliers directly.	The provision most often litigated and most often struck down for overbreadth. It is bounded by a defined Field, a defined set of Protected Relationships, a fixed Restricted Period and real carve-outs, and carries a reformation clause and the healthcare-compliance overlay in §5.5.
6 Breach and Remedies	Establishes irreparable harm, injunctive relief, monetary and statutory relief, indemnity and an escalation path.	The irreparable-harm acknowledgement in §6.1 is what gets an injunction heard quickly. §6.6 prevents a liability cap in a later supply or distribution agreement from silently capping exposure for a trade-secret breach — a frequent and expensive oversight.
7 Governing Law	Chooses the law and forum and carries the boilerplate.	The forum clause carves out injunctive relief so emergency applications can be brought where the assets or the defendant are, not only in the chosen forum.

G.2 Before this Agreement is used — counsel checklist

- **Confirm the restrictive-covenant position.** Enforceability of the employee non-solicit in §5.2(e), and of non-circumvention generally, varies by state and country and has been unsettled at federal level; confirm the current rule in every jurisdiction where the Agreement will be signed or enforced, and adjust §5.7.
- **Confirm the jury waiver and choice of law.** Pre-dispute jury waivers are unenforceable in some states, and a Delaware choice of law will not displace mandatory employment or privacy law where a Representative works.
- **Decide arbitration deliberately.** Arbitration buys confidentiality of the proceeding — valuable in a trade-secret dispute — at the cost of speed on emergency relief. §7.3 keeps the court route open for injunctions either way.
- **Execute the privacy agreements first.** If PHI or Personal Data will move, a business associate agreement or data processing agreement must be in place before the first disclosure; §3.11 assumes it, and this Agreement is not a substitute for it.
- **Complete Schedule B honestly and early.** The carve-out in §5.4 for pre-existing relationships is the counterparty's main defence and the Company's main evidentiary protection. Filling it in at signature avoids the argument later.
- **Fix the circumvention fee percentage.** Leaving §5.8 blank discards the alternative to proving diverted profit, which is often the hardest element of a circumvention claim.
- **Match the term to the deal.** A five-year tail suits a distribution evaluation; a co-development discussion touching control algorithms should use the ten-year tier in §3.5.

G.3 Operational practice for the deal team

- Mark documents before they leave the building, and confirm sensitive oral and demonstration disclosures in writing — §3.3 protects unmarked disclosures, but the written confirmation is what makes the claim easy to prove.
- Keep the Representative access list current from day one — it is the first document requested in any dispute.
- Log every Introduction with a date: the Restricted Period in §5.3 runs from the last one, and an undated Introduction is hard to enforce.
- Never paste specifications, price books or GPO terms into a public AI assistant, and route any AI tooling request through the consent process in §3.4.
- Trigger §4.5 within 48 hours of a suspected incident, not after the internal investigation concludes.
- Send the Exhibit 1 certificate routinely when a discussion ends, whether or not the counterparty asks.

End of document. Prepared for [COMPANY LEGAL NAME, INC.]. Not legal advice — obtain review by licensed counsel in each applicable jurisdiction before execution.